

Followers focus too restrictively on one or two aspects of a situation, excluding other considerations. The use of risk tolerance questionnaires provides a good example. Depending on how questions are asked, framing bias can cause investors to respond to risk tolerance questions in an either unduly risk-averse or risk-taking manner. For example, when questions are worded in the gain frame (e.g., an investment goes up), then a risk-taking response is more likely. When questions are worded in the “loss” frame (e.g., an investment goes down), then risk-averse behavior is the likely response.

Simple diagnostic for framing bias: On a scale of 1 to 5, with 5 being full agreement, how much do you agree with the following:

I trust more the advice of national investment firms than smaller, local firms.

Answering 3 to 5 shows a tendency toward framing bias.

Cognitive Dissonance Bias

Bias type: Cognitive

In psychology, cognitions represent attitudes, emotions, beliefs, or values. When multiple cognitions intersect—for example when a person believes in something only to find out it is not true—Followers try to alleviate their discomfort by ignoring the truth and/or rationalizing their decisions. Investors who suffer from this bias may continue to invest in a security or fund they already own after it has gone down (average down) even when they know they should be judging the new investment with objectivity. A common phrase for this concept is “throwing good money after bad.”

Simple diagnostic for cognitive dissonance bias: On a scale of 1 to 5, with 5 being full agreement, how much do you agree with the following:

When making investment decisions, I tend to focus on the positive aspect of an investment rather than on what might go wrong with the investment.

Answering 3 to 5 shows a tendency toward cognitive dissonance bias.

Regret Aversion Bias

Bias type: Emotional

Followers often avoid taking decisive actions because they fear that, in hindsight, whatever course they select will prove less than optimal. Regret aversion can cause some investors to be too timid in their investment choices because of losses they have suffered in the past.